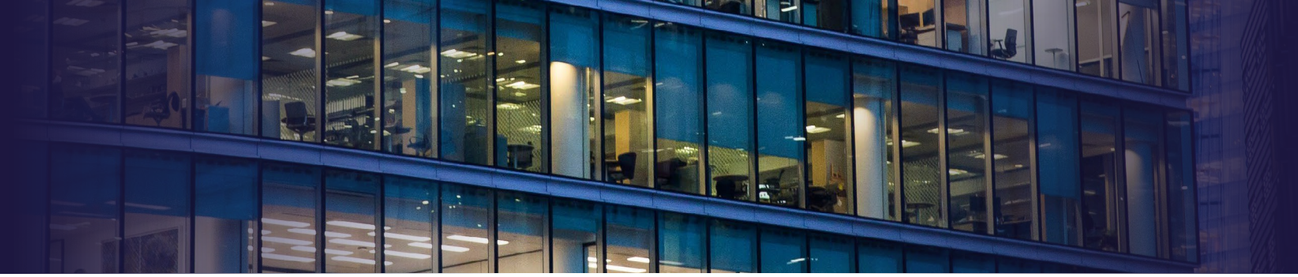
MARKETBEAT

PHOENIX

OFFICE Q3 2025



CUSHMAN & WAKEFIELD

MARKET FUNDAMENTALS

	YOY Chg	Outlook
27.2% Vacancy Rate	▼	▬
197K YTD Net Absorption, SF	▲	▲
$30.33 Asking Rent, PSF	▲	▲

(Overall, All Property Classes)

ECONOMIC INDICATORS

	YOY Chg	Outlook
2.5M Phoenix Employment	▲	▲
3.6% Phoenix Unemployment Rate	▲	▲
4.3% U.S. Unemployment Rate	▲	▲

Source: BLS

ECONOMY: KEY INDICATORS SIGNAL CONTINUED GROWTH

In Q3 2025, the Phoenix Metro reported an employment level of 2.5 million, with nearly 32,600 jobs added since the end of Q3 2024. While the unemployment rate bumped up from 3.3% to 3.6% over that period, it remained well-below the national average of 4.3% and ranked third-lowest among major U.S. metros with total employment of at least 2 million jobs. Strong wage growth continued to draw new entrants into the labor force, as the median household income increased by 3.2% year-over-year (YOY) to $91,100. Population growth also outpaced the national trend, however, the 1.0% YOY increase marked a deceleration from previous quarters. Meanwhile, Phoenix's GDP growth accelerated from 1.8% in Q3 2024 to 2.7% in Q3 2025, further reinforcing the Metro's positive economic momentum.

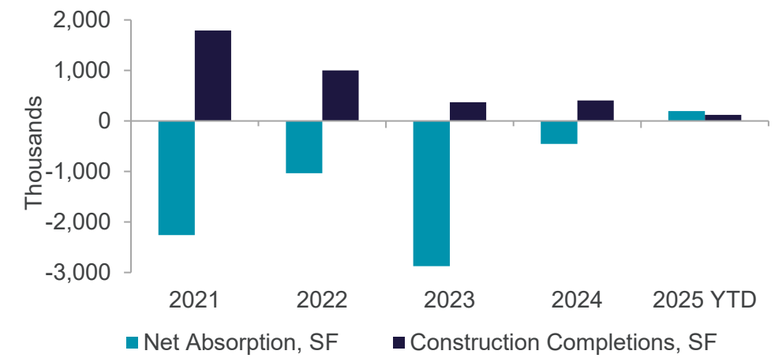
DEMAND: VACANCY FLUCTUATES, BUT BROADER TREND IS DOWN

Phoenix's office vacancy rate settled at 27.2% in Q3 2025, up 10 basis points (bps) from Q2, but still down 80bps YOY. While this marks the first quarter-over-quarter (QOQ) bump since Q3 2024, vacancy is expected to resume its downward trend over the longer term. Over 2.6 million square feet (msf) of office space is currently planned for conversion to other uses, with a significant share in the South Airport and Metrocenter submarkets, which have observed some of the highest vacancy rates in the Metro. These areas account for 59% of the planned removals and reported vacancies of 36.9% and 37.2% in Q3.

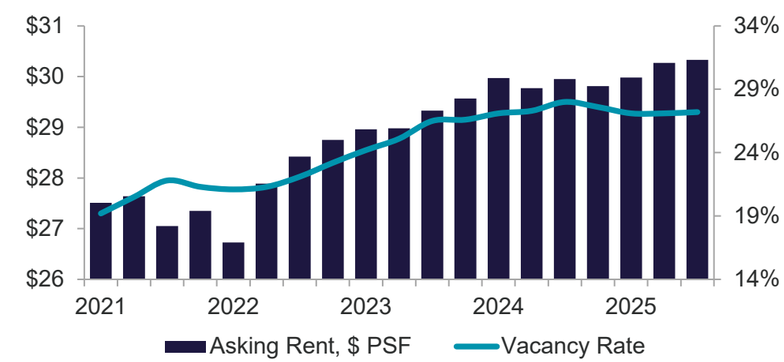
DEMAND: LEASING STEADY WITH SEVERAL POCKETS OF STRENGTH

Phoenix recorded 1.4 million square feet (msf) of gross office leasing in Q3 2025. Although this represented a slight decrease in volume from Q2, the total number of deals grew by nearly 6%, suggesting that overall activity rose modestly while the average requirement size contracted. In the quarter, the Scottsdale Airpark submarket posted the highest level of leasing in the Metro, with the total volume here growing by 31% QOQ to a five-quarter high of 237,765 sf. Other submarkets that exhibited strength included the Camelback Corridor (149,423 sf), Price/Chandler/Gilbert (142,923 sf) and Tempe (132,164 sf). Across asset tiers, Class B spaces posted the strongest leasing activity, improving by 19% QOQ to 789,869 sf. Scottsdale Airpark (175,999 sf) and Midtown (114,204 sf) hosted over one-third of the Metro's Class B demand.

SPACE DEMAND / DELIVERIES

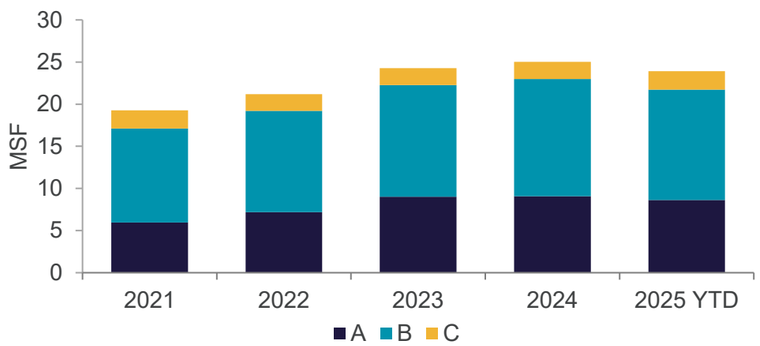


OVERALL VACANCY & ASKING RENT

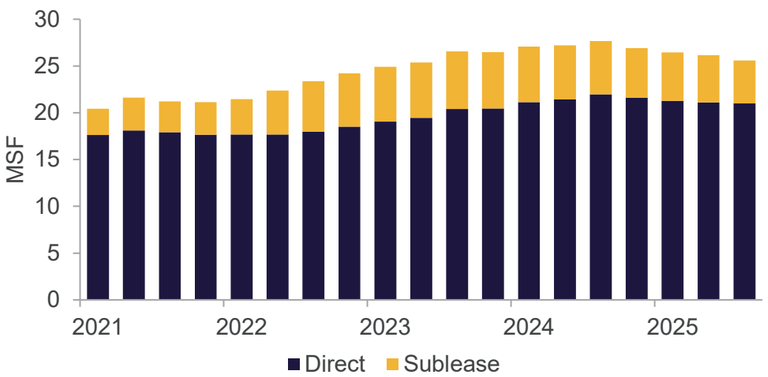


© 2025 Cushman & Wakefield

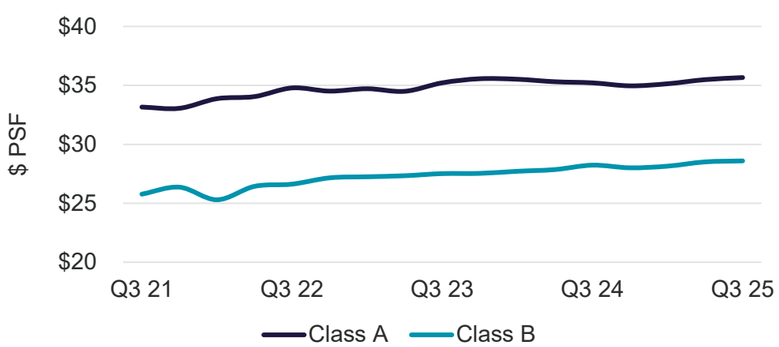
VACANT SPACE BY CLASS



DIRECT VS. SUBLEASE SPACE AVAILABLE COMPARISON



ASKING RENT COMPARISON



DEMAND: DESPITE SETBACKS, OVERALL ABSORPTION STILL POSITIVE YTD

Net absorption totaled -173,069 sf in Q3 2025, the second consecutive quarter with a negative rate following a strong rebound in Q1. Even with these recent setbacks, the year-to-date (YTD) total still stands at 196,975 sf, which marks first time since 2019 that the Metro has posted positive absorption overall through the first three quarters of the year. Still, just three submarkets — Tempe (453,386 sf), Price/Chandler/Gilbert (181,282 sf) and Scottsdale Airpark (120,822 sf) — have largely been responsible for the Metro's positive performance. Class A spaces have also greatly outperformed their lower-tier counterparts, with YTD absorption of 452,043 sf. This likely signals a strong occupier preference for higher-tier spaces, that will likely continue for the foreseeable future. Currently, there are over 350,000 square feet of signed leases at Class A offices slated to commence during 4Q, highlighted by tenants such as Mobile Mini (89,716 sf), CliftonLarsenAllen (52,775 sf) and LPL Financial (43,917 sf).

SUPPLY: SUBLEASE VACANCY REACHES THREE-YEAR LOW

In Q3 2025, the amount of vacant sublease space in Phoenix fell by 200,712 sf to 3.9 msf, which represents the Metro's lowest level since Q2 2022. Of the space that was removed, roughly 120,000 sf was occupied by subtenants, rather than being rolled into direct availabilities. Despite the continued decline in sublease vacancy, several large new listings are still expected to hit the market over the near-term. Two of the largest include Equality Health's 98,361 sf block of space at Riverwalk Arizona in Central Scottsdale, and UEI's 38,086 sf building in the Metrocenter submarket.

PRICING: AVERAGE ASKING RENT CONTINUES TO MOVE UPWARD

The Metro's average full-service gross asking rental rate bumped up by 0.2% from Q2 to Q3 2025, reaching a record-high of $30.33 per square foot (psf). Class A and B spaces buoyed the market's overall growth with increases of 0.5% and 0.3%, respectively, while Class C properties noted a 0.8% decline. The average rental rate advanced by 3.3% QOQ in the Camelback Corridor, the Metro's most expensive submarket, with asking rates for premium spaces here reaching as high as $65.00 psf. Meanwhile, the Price/Chandler/Gilbert area ranked as the highest-growth submarket in Q3, with its average asking rent rising by 5.6% QOQ to $31.24 psf.

THE BRIGHT SIDE: SMALL OFFICES STILL OUTPERFORM BROADER MARKET

Smaller offices, which often cater to local business, professional services and medical uses, continued to outperform larger buildings through 3Q 2025. The segment of office product between 20,000 sf and 50,000 sf reported an overall vacancy rate of just 16.0%, while the overall vacancy rate in office properties larger than 50,000 sf settled at 29.0%. Due to the current desirability of smaller floor plates, the segment of office product between 20,000 sf and 50,000 sf recorded an overall vacancy rate that was 40 bps lower in Q3 2025 compared to the Q4 2019 vacancy rate of 16.4%.

OUTLOOK

- Positive momentum is gradually building in the Phoenix office market. Although net absorption was negative in Q3 2025, the Metro still retained its first positive YTD total since 2019. While footprint downsizings may still pose challenges, Phoenix's strong demographics and economic growth should continue to positively influence demand for office space over the long-term. We expect the highest quality and most well-amenitized product to outperform Class B and C buildings over the next 3-5 years.
- Sublease vacancy likely peaked in Q4 2023 and has since declined by 29.4% over the last seven quarters. We anticipate this trend to continue as fewer sublease listings come to market, and as many tenants capitalize on opportunities to secure space in desirable locations at a significant discount to direct lease rates.
- Only two new speculative office projects are currently underway in Phoenix. This includes Central Station, a new mixed-use development in downtown Phoenix that is planned to include over 70,000 sf of office space, and an additional 37,000 sf office building at The Grove in the Camelback Corridor submarket.

© 2025 Cushman & Wakefield

MARKET STATISTICS

SUBMARKET	INVENTORY (SF)	SUBLET VACANT (SF)	DIRECT VACANT (SF)	OVERALL VACANCY RATE	CURRENT QTR OVERALL NET ABSORPTION (SF)	YTD OVERALL NET ABSORPTION (SF)	YTD LEASING ACTIVITY (SF)*	UNDER CNSTR (SF)	OVERALL AVG ASKING RENT (ALL CLASSES)**
(1) Arrowhead	480,517	1,800	67,678	14.5%	14,415	5,846	45,086	-	$31.26
(2) Metrocenter	4,850,549	71,559	1,732,970	37.2%	-135,069	-145,900	187,702	-	$23.12
(3) Glendale 101	749,464	37,122	133,030	22.7%	-15,429	1,565	16,129	-	$27.26
(4) Southwest Phoenix	313,743	-	-	0.0%	0	28,500	32,841	-	N/A
(5) Piestewa Peak	2,278,547	90,379	424,495	22.6%	8,537	-17,499	137,642	-	$27.08
(6) Midtown	8,502,520	55,713	2,450,161	29.5%	-2,460	-28,127	374,262	-	$25.82
(7) Downtown	5,918,319	311,208	1,450,706	29.8%	-22,507	-59,670	120,441	70,000	$32.20
(8) Desert Ridge/Paradise Valley	1,710,549	17,128	428,606	26.1%	-25,389	-36,206	223,290	471,155	$31.74
(9) Camelback Corridor	7,037,109	121,760	1,494,212	23.0%	8,302	-8,018	462,687	37,000	$41.50
(10) Central Phoenix	880,077	-	150,277	17.1%	-3,091	-10,459	27,899	-	$21.85
(11) North Airport/44th St Corridor	2,433,500	116,266	772,132	36.5%	-24,227	-55,148	66,635	-	$29.03
(12) South Airport	5,571,309	572,102	1,484,474	36.9%	15,890	71,685	175,726	-	$28.13
(13) Scottsdale Airpark	9,322,295	273,379	1,300,863	16.9%	28,165	120,822	598,021	-	$33.03
(14) Central Scottsdale	4,828,775	145,588	758,184	18.7%	-12,461	-75,576	128,817	-	$32.13
(15) South Scottsdale	4,344,764	30,167	1,165,366	27.5%	39,919	42,068	332,209	-	$37.66
(16) Tempe	10,292,775	852,064	1,988,547	27.6%	145,827	453,386	470,418	-	$35.58
(17) South Tempe/Ahwatukee	1,675,191	38,479	451,307	29.2%	-36,851	-27,701	70,494	-	$25.75
(18) East Mesa	489,078	-	100,763	20.6%	-2,790	-6,033	30,511	-	$20.12
(19) Superstition Corridor	2,765,691	41,873	573,067	22.2%	-36,651	-66,752	195,140	-	$24.30
(20) Price/Chandler/Gilbert	8,334,630	640,711	1,847,496	29.9%	40,996	181,282	405,679	-	$31.24
(21) Deer Valley	4,271,963	437,741	1,162,201	37.5%	-171,517	-204,430	124,278	-	$28.25
(22) West I-10	317,674	2,376	42,580	14.2%	5,692	16,525	38,706	-	$35.67
(23) Loop 303/Surprise	129,735	2,910	29,361	24.9%	7,294	12,498	11,256	-	$34.39
(24) Phoenix-Mesa Gateway/Loop 202	341,530	-	32,318	9.5%	336	4,317	10,383	-	$35.82
PHOENIX TOTALS	**87,840,304**	**3,860,325**	**20,040,794**	**27.2%**	**-173,069**	**196,975**	**4,286,252**	**578,155**	**$30.33**
Class A	29,532,427	2,311,778	6,316,198	29.2%	86,488	452,043	1,583,990	541,155	$35.66
Class B	45,973,392	1,522,212	11,575,367	28.5%	-140,372	-126,307	2,219,736	37,000	$28.59
Class C	12,334,485	26,335	2,149,229	17.6%	-119,185	-128,761	482,526	-	$21.93
PHOENIX TOTALS	**87,840,304**	**3,860,325**	**20,040,794**	**27.2%**	**-173,069**	**196,975**	**4,286,252**	**578,155**	**$30.33**

**Renewals not included in leasing statistics. **Rental rates reflect full service asking.*

© 2025 Cushman & Wakefield

MAJOR MARKET STATISTICS

MAJOR MARKET	INVENTORY (SF)	SUBLET VACANT (SF)	DIRECT VACANT (SF)	OVERALL VACANCY RATE	CURRENT QTR OVERALL NET ABSORPTION (SF)	YTD OVERALL NET ABSORPTION (SF)	YTD LEASING ACTIVITY (SF)*	UNDER CNSTR (SF)	OVERALL AVG ASKING RENT (ALL CLASSES)**	OVERALL AVG ASKING RENT (CLASS A)**
Camelback/Piestewa Peak	9,315,656	212,139	1,918,707	22.9%	16,839	-25,517	600,329	37,000	$38.02	$44.98
Central Business District	14,420,839	366,921	3,900,867	29.6%	-24,967	-87,797	494,703	70,000	$28.45	$34.87
East Phoenix	8,884,886	688,368	2,406,883	34.8%	-11,428	6,078	270,260	-	$28.08	$31.69
Northeast Valley/Scottsdale	20,206,383	466,262	3,653,019	20.4%	30,234	51,108	1,282,337	471,155	$34.04	$38.61
Southeast Valley	13,606,120	721,063	3,004,951	27.4%	-34,960	85,113	712,207	-	$29.11	$31.39
Tempe	10,292,775	852,064	1,988,547	27.6%	145,827	453,386	470,418	-	$35.58	$45.72
West/Northwest Phoenix	11,113,645	553,508	3,167,820	33.5%	-294,614	-285,396	455,998	-	$25.92	$30.99
PHOENIX TOTALS	**87,840,304**	**3,860,325**	**20,040,794**	**27.2%**	**-173,069**	**196,975**	**4,286,252**	**578,155**	**$30.33**	**$35.66**

**Renewals not included in leasing statistics. **Rental rates reflect full service asking.*

KEY LEASE TRANSACTIONS Q3 2025

PROPERTY	SUBMARKET	TENANT	SF	TYPE
Inisio at Kierland Two	Scottsdale Airpark	Troon	68,721	Direct New
Allred Park Place – Building 16	Price/Chandler/Gilbert	Toyota	55,249	Direct New
Park at SanTan	Price/Chandler/Gilbert	VentureX	42,512	Direct New
Hayden Ferry Lakeside I	Tempe	BOK Financial	39,192	Direct New
Rio 2100 – Phase I	Tempe	Kestra Financial	38,896	Direct New

**Renewals not included in leasing statistics*

KEY SALE TRANSACTIONS Q3 2025

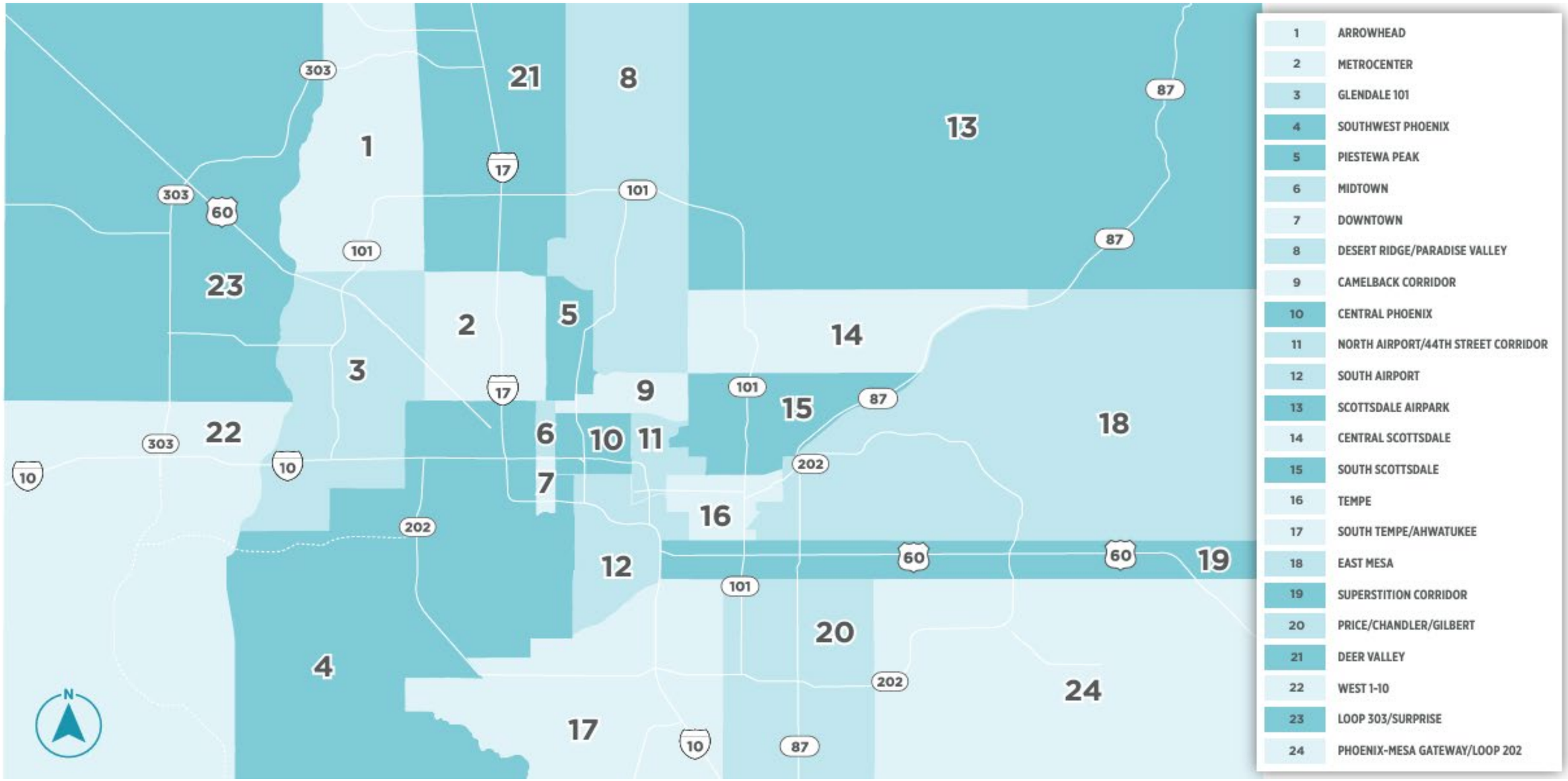
PROPERTY	SUBMARKET	SELLER/BUYER	SF	PRICE / $ PSF
6 Property Portfolio	Multiple	City Office REIT / Southwest Value Partners	1,261,157	$266.0M / $211
2800 Tower	Midtown	Gaedeke Group / Skyline Real Estate	370,736	$28.5M / $77
One Chandler Corporate Center Phase II	South Tempe/Ahwatukee	VanTrust Real Estate / MCR Companies	118,857	$23.2M / $195
AERO Scottsdale	Scottsdale Airpark	Global Mutual / Kenneth Goodrich	46,871	$12.0M / $255
Forty6Forty5 Cotton Corporate Center	South Airport	TNMG / Premier Realty Management	116,858	$10.1M / $86

KEY CONSTRUCTION COMPLETIONS YTD 2025

PROPERTY	SUBMARKET	MAJOR TENANT	SF	OWNER/DEVELOPER
Gilbert Spectrum – Building 3	Price/Chandler/Gilbert	Northrop Grumman	119,222	SunCap Property Group

© 2025 Cushman & Wakefield

OFFICE SUBMARKETS



JOSH CRAFT
Senior Research Analyst
Tel: +1 602 468 8596
joshua.craft@cushwake.com

JEFF COOLEDGE
Senior Research Manager
Tel: +1 602 224 4448
jeffrey.cooledge@cushwake.com

©2025 Cushman & Wakefield. All rights reserved. The information contained within this report is gathered from multiple sources believed to be reliable, including reports commissioned by Cushman & Wakefield ("CWK"). This report is for informational purposes only and may contain errors or omissions; the report is presented without any warranty or representations as to its accuracy.

Nothing in this report should be construed as an indicator of the future performance of CWK's securities.
You should not purchase or sell securities—of CWK or any other company—based on the views herein. CWK disclaims all liability for securities purchased or sold based on information herein, and by viewing this report, you waive all claims against CWK as well as against CWK's affiliates, officers, directors, employees, agents, advisers and representatives arising out of the accuracy, completeness, adequacy or your use of the information herein.